

SWFs are special for me because of my association with Norway, whose SWF is among the world's largest; at the end of 2012, it managed \$685 billion, sixty times more than the Timor-Leste's Petroleum Fund. (Yet in economic terms Timor-Leste's is the giant because Norway's fund is "only" equal to a year's GDP, while Timor-Leste's is ten times that nation's annual output.) I have advised the Norwegian SWF since 2005, and my consulting work for the Norwegians on strategic asset allocation has influenced my research and teaching. I am extremely grateful to Norway for inspiring me—the work on factor investing, especially, has shaped some of the arguments of this book. Through Norway, I have had the privilege of meeting people representing governments and large fund managers from Europe, the Middle East, Asia, Australia, New Zealand, and of course, the United States.

2.1. THE GROWTH OF SOVEREIGN WEALTH

SWFs are part of overall sovereign reserves, which include central bank reserves, commodity savings or stabilization funds, national pension reserves, government holding management companies, and state-owned enterprises. A working definition of a SWF is an investment fund controlled by a government and invested at least partly in foreign assets.⁴ At its most basic level, a SWF is a vehicle for moving a country's savings from the present to the future. SWFs have been created by many types of governments—from democratic to autocratic—and are managed in a variety of structures, from independent crown corporations to operations within central banks.

The United States has several SWFs, all at the state level.⁵ The largest and oldest in the United States is the Alaska Permanent Fund, which was established under the state's constitution in 1976 and is funded by mineral lease rentals. It had grown to \$42 billion as of August 31, 2012. Each year, all residents of Alaska receive a dividend, which in 2012 was \$878. The newest SWF in the United States is the North Dakota Legacy Fund, which receives 30% of the state's taxes on oil and gas and was established in 2011. This fund is projected to rapidly grow alongside the shale oil boom. Then there are the New Mexico Severance Tax Permanent Fund (1973), the Wyoming Permanent Mineral Trust Fund (1974), and the Alabama Trust Fund (1985).

While SWFs are a heterogeneous group of investors, their distinguishing characteristic is government ownership, which makes the management of a SWF different from the management of private sector financial institutions. The biggest SWFs are colossal. Norway has more than half a trillion dollars in assets. China Investment Corporation (CIC) and the State Administration of Foreign

⁴ The term "sovereign wealth fund" was coined by Rozanov (2005). A legal framework is provided by Gelpern (2011).

⁵ States are sovereigns too, see chapter 12.